

NVIDIA Corporation NVDA

STANDARD (2-STAGE FCFE)

RATING	FAIR VALUE	PRICE	UPSIDE
REDUCE	\$179.13	\$204.12	-12%

Discount rate 9.13% · data: yfinance

INVESTMENT THESIS

We initiate our independent valuation of **NVIDIA Corporation (NVDA)** with a **REDUCE** stance and a fair value of **\$179.13**, -12% against the current \$204.12. Fair value is derived using the **2-Stage Free Cash Flow to Equity**, selected for this company's sector — anchored to forward analyst estimates and discounted at a 9.1% cost of equity. Cash flows are sourced from analyst levered-FCF consensus (10y) then fade to 2.5%.

NVIDIA Corporation generated \$215.94bn of revenue at a 60% EBIT margin in the latest fiscal year, having compounded the top line at 100.0% over the historical window. Market capitalisation stands at \$4.94trn with \$51.52bn of net cash.

Consistent with a long-duration cash-flow profile, 55% of the intrinsic value sits in the terminal value — the present value of cash flows beyond the explicit 10-year forecast. This is normal for a growth or infrastructure asset and underlines that the valuation rests on analyst growth expectations being realised.

By way of contrast, the 12-month analyst price target of \$301.62 (+48%) sits above our intrinsic fair value. These measure different things: our fair value is what the business is worth on its projected cash flows, while the price target is where analysts expect the shares to trade near-term. A persistent gap is normal and reflects how much of the intrinsic value the market is currently willing to pay for.

Fair value from a 2-stage Free Cash Flow to Equity model: analyst levered-FCF estimates over 10 years plus a Gordon terminal, discounted at the cost of equity.

KEY DATA	
Market cap	\$4.94trn
Enterprise value	\$4.89trn
Net debt	(\$51.52bn)
Net debt / EBITDA	net cash
EV / EBITDA (LTM)	33.8x
P/E (LTM)	41.7x
FCF yield (LTM)	1.9%
Dividend yield	0.5%
Beta	2.21
Diluted shares	24,221mn

FINANCIAL SUMMARY & VALUATION

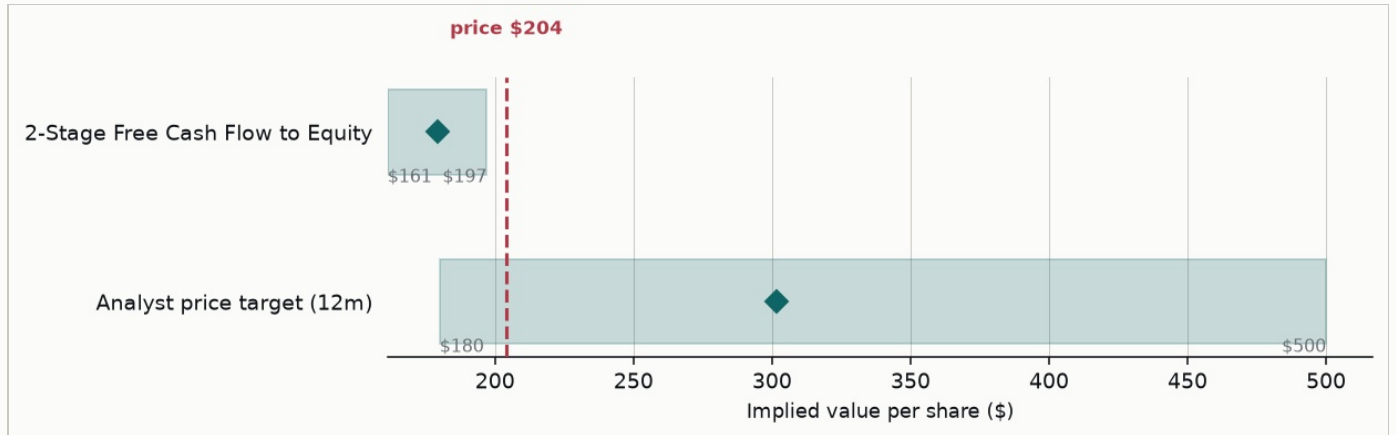
\$, PER SHARE WHERE NOTED	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	\$130.50bn	\$215.94bn	\$269.92bn	\$322.22bn	\$366.53bn	\$396.31bn
growth	+114.2%	+65.5%	+25.0%	+19.4%	+13.7%	+8.1%
EBITDA	\$86.14bn	\$144.55bn	\$170.37bn	\$199.84bn	\$223.29bn	\$237.08bn
EBIT margin	62.4%	60.4%	60.4%	59.3%	58.2%	57.1%
EPS	\$2.94	\$4.90	\$5.81	\$6.82	\$7.61	\$8.07
FCFF/share	\$2.47	\$3.78	\$5.42	\$6.42	\$7.25	\$7.79

EV/EBITDA	56.8x	33.8x	28.7x	24.5x	21.9x	20.6x
P/E	69.5x	41.7x	35.1x	29.9x	26.8x	25.3x
FCF yield	1.2%	1.9%	2.7%	3.2%	3.6%	3.9%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT – LTM interest) × (1–t).

VALUATION SUMMARY

EXHIBIT 1 • FAIR VALUE VS. PRICE



ESTIMATE	VALUE / SHARE	UPSIDE
2-Stage Free Cash Flow to Equity (fair value)	\$179.13	-12%
Analyst price target (12m consensus)	\$301.62	+48%

The headline fair value is the intrinsic valuation (Simply Wall St methodology, analyst-driven cash flows). The analyst price target is a 12-month price forecast shown for contrast — it answers a different question (where the market may trade the stock) and is not part of the intrinsic value.

FINANCIAL MODEL — HISTORICALS & ANALYST FORECAST

Reported actuals (A) followed by the analyst-estimate forecast (E). The **Levered FCF** column is the exact cash-flow stream discounted in the intrinsic valuation below — the P&L, the cash flow and the fair value are one reconciled chain.

FISCAL YEAR	REVENUE	GROWTH	EBIT	MARGIN	NET INCOME	EPS
2023A	\$26.97bn	—	\$5.58bn	20.7%	\$4.37bn	\$0.17
2024A	\$60.92bn	+125.9%	\$32.97bn	54.1%	\$29.76bn	\$1.19
2025A	\$130.50bn	+114.2%	\$81.45bn	62.4%	\$72.88bn	\$2.94
2026A	\$215.94bn	+65.5%	\$130.39bn	60.4%	\$120.07bn	\$4.90
2027E	\$554.44bn [A]	+156.8%	\$334.78bn	60.4%	\$309.17bn	\$12.76 [A]
2028E	\$571.07bn	+3.0%	\$344.82bn	60.4%	\$317.53bn	\$13.11
2029E	\$588.20bn	+3.0%	\$355.17bn	60.4%	\$327.05bn	\$13.50
2030E	\$605.85bn	+3.0%	\$365.82bn	60.4%	\$336.87bn	\$13.91
2031E	\$624.02bn	+3.0%	\$376.79bn	60.4%	\$346.97bn	\$14.33
2032E	\$642.74bn	+3.0%	\$388.10bn	60.4%	\$357.38bn	\$14.76
2033E	\$662.02bn	+3.0%	\$399.74bn	60.4%	\$368.10bn	\$15.20
2034E	\$681.89bn	+3.0%	\$411.73bn	60.4%	\$379.15bn	\$15.65
2035E	\$702.34bn	+3.0%	\$424.09bn	60.4%	\$390.52bn	\$16.12
2036E	\$723.41bn	+3.0%	\$436.81bn	60.4%	\$402.24bn	\$16.61

Bridge to levered free cash flow (what the DCF discounts)

FISCAL YEAR	REVENUE	NET INCOME	LEVERED FCF	FCF MARGIN	SOURCE
2027E	\$554.44bn	\$309.17bn	\$269.53bn	48.6%	Analyst
2028E	\$571.07bn	\$317.53bn	\$278.96bn	48.8%	Analyst
2029E	\$588.20bn	\$327.05bn	\$288.73bn	49.1%	Analyst
2030E	\$605.85bn	\$336.87bn	\$298.83bn	49.3%	Analyst
2031E	\$624.02bn	\$346.97bn	\$309.29bn	49.6%	Analyst
2032E	\$642.74bn	\$357.38bn	\$320.12bn	49.8%	Analyst
2033E	\$662.02bn	\$368.10bn	\$331.32bn	50.0%	Analyst
2034E	\$681.89bn	\$379.15bn	\$342.92bn	50.3%	Analyst
2035E	\$702.34bn	\$390.52bn	\$354.92bn	50.5%	Analyst
2036E	\$723.41bn	\$402.24bn	\$367.34bn	50.8%	Analyst

“A” marks figures taken directly from analyst consensus; unmarked forecast figures are derived by holding the latest reported margin stable. The Levered FCF column ties exactly to the 10-year cash-flow forecast in the intrinsic valuation, so every number traces from revenue through to the \$179.13 fair value.

RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

METRIC	FY2023A	FY2024A	FY2025A	FY2026A
Net debt / EBITDA	-0.2x	-0.4x	-0.4x	-0.4x
EBIT / interest	21.3x	128.3x	329.8x	503.4x
ROE	19.8%	69.2%	91.9%	76.3%
ROIC (NOPAT/IC)	23.2%	101.7%	152.9%	106.7%
FCF conversion (FCFF/NOPAT)	48%	88%	85%	83%
Capex / D&A	1.19x	0.71x	1.74x	2.13x

INTRINSIC VALUATION — 2-STAGE FREE CASH FLOW TO EQUITY

Fair value is built from **forward analyst estimates**, not historical cash flow — the methodology used by Simply Wall St. The model is selected by sector: a 2-stage cash-flow model for most companies, Excess Returns for financials, AFFO for REITs, or a dividend model for consistent payers. Every figure below is traceable.

Fair value per share

\$179.13

-12% vs price \$204.12

Discount rate (cost of equity) 9.13% · terminal value 55% of total · source: analyst levered-FCF consensus (10y) then fade to 2.5%

10-year cash-flow forecast

YEAR	CASH FLOW (\$MN)	SOURCE	DISCOUNT FACTOR	PRESENT VALUE (\$MN)
2027	269,530	Analyst	0.916	246,980
2028	278,964	Analyst	0.840	234,236
2029	288,728	Analyst	0.769	222,151
2030	298,833	Analyst	0.705	210,689
2031	309,292	Analyst	0.646	199,818
2032	320,118	Analyst	0.592	189,509
2033	331,322	Analyst	0.542	179,731
2034	342,918	Analyst	0.497	170,457

2035	354,920	Analyst	0.455	161,663
2036	367,342	Analyst	0.417	153,321

Valuation build

PV of next 10 years' cash flows	\$1,968.55bn
Terminal value (Gordon)	\$5,678.55bn
PV of terminal value	\$2,370.12bn
Total equity value	\$4,338.67bn
Shares outstanding	24,221mn
Value per share	\$179.13
Discount to fair value	12.2%

Discount rate — cost of equity

Risk-free rate (5y avg 10y govt bond)	3.60%
Equity risk premium (Damodaran)	4.60%
Industry unlevered beta (technology)	1.200
Debt / equity	0.2%
Levered beta = $\text{unlev} \cdot (1 + (1 - t) \cdot D/E)$	1.202
Levered beta (clamped 0.8–2.0)	1.202
Cost of equity = $R_f + \beta \cdot \text{ERP}$	9.13%

Cost of equity = risk-free rate + levered beta × equity risk premium. The risk-free rate is a 5-year average of the 10-year government bond (not the spot rate, to avoid volatile valuations). Beta is built bottom-up from the industry unlevered beta, re-levered to the company's capital structure and clamped to a practical 0.8–2.0 band (Damodaran).

Levered FCF to equity from analyst consensus, discounted at the cost of equity over 10 years plus a Gordon terminal. The forward estimates are the central input — history is used only where estimates are absent.

FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

Exposure levels are scored from the model and the historicals, with the mechanism spelled out.

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	Interest rates / discount rate	MEDIUM	75bps of WACC $\approx$ \$3.82/sh (6%); TV = 60% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	Economic cycle / demand	HIGH	Revenue growth volatility σ = 26.2% over 3y	Historical top-line dispersion is the cleanest read on cyclicalty: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	Inflation / input costs	LOW	–100bps EBIT margin $\approx$ –\$1.12/sh; margin σ = 16.9%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	Credit & refinancing	LOW	Net cash position; EBIT/interest = 503.4x	A net-cash balance sheet removes refinancing risk and turns higher rates into interest income rather than a cost.
Micro	Competitive erosion	LOW	ROIC–WACC spread = 8,978bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	Execution vs expectations	HIGH	Implied y1 growth 41.7% vs base 25.0%	Market expects MORE than our base — priced for execution. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results.

Micro	Capital intensity	MEDIUM	Capex/D&A = 1.26x; capex = 3.5% of sales	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.
Micro	Pricing power / margin stability	HIGH	EBIT margin σ = 16.9% (range 21%–62%)	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by $\approx$ \$3.82/share (6%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth $\approx$ \$1.54/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth $\approx$ \$1.12/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 25.0% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

KEY RISKS

- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

Methodology & disclaimer. Generated by an automated, sector-aware valuation engine from public data (yfinance). NVDA was classified as **Standard (2-Stage FCFE)** and valued with the Simply Wall St methodology: a sector-appropriate intrinsic model (2-stage cash flow to equity, excess returns for financials, AFFO for REITs, or a dividend model) anchored to forward analyst estimates and discounted at the cost of equity. Terminal value uses the Gordon growth method. Forward cash flows come from analyst consensus where available, extrapolated from reported figures otherwise — they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.